

Equity Research Toolkit

SATS – Healthy body, healthy margins

Pareto Equity Research Competition 2026

Share price and estimates as of 30.09.26

Case-team

CBS case team with a passion for equity research – presenting a model-driven investment case

TM	University: [your university] Year of study: [year] Experience: [relevant experience]	TM	University: [your university] Year of study: [year] Experience: [relevant experience]	TM	University: [your university] Year of study: [year] Experience: [relevant experience]
Team member 1		Team member 2		Team member 3	

Why we chose this company

- Clear equity story: **market leader** with pricing power and a scalable cost base
- A market that underestimates **margin expansion and cash generation**
- Valuation gap we can **quantify and stress-test** in scenarios

How we worked

- Bottom-up model: **locations x volume x price** per segment, IFRS 16-consistent DCF
- Reverse DCF, **consensus gap**, peers, scenarios and 30 integrity checks
- Every number in this deck ties back to **one Excel model**

Company overview

SATS ASA – the leading fitness club operator in the Nordics, with pricing power and operating leverage

SATS ASA is the **#1 fitness operator in the Nordics** with **755k members** in 273 clubs across Norway, Sweden, Finland and Denmark. **Membership subscriptions (83% of revenue)**, proven **pricing power** and a largely fixed club cost base lift the **EBIT adj. margin to ~15% by 2030E** – with **ROIC well above WACC**.

Company snapshot

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Sector	Fitness clubs
Headquarters	Oslo, Norway
Listing	Oslo Børs (SATS)
Members (2025)	755k
Locations (2025)	273
Employees	~10,000
Market cap (NOKm)	8,151
Enterprise value (NOKm)	9,228

Scalable model with pricing power

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- **Recurring revenue:** 83% of sales are monthly memberships; personal training and retail the rest
- **Pricing power:** revenue per member up ~6% a year in 2024-25 while the member base grew
- **Operating leverage:** EBITDA before IFRS 16 up from NOK 0.61bn (2023) to NOK 0.87bn (2025)
- **Capital light:** capex 5.6% of sales and negative working capital

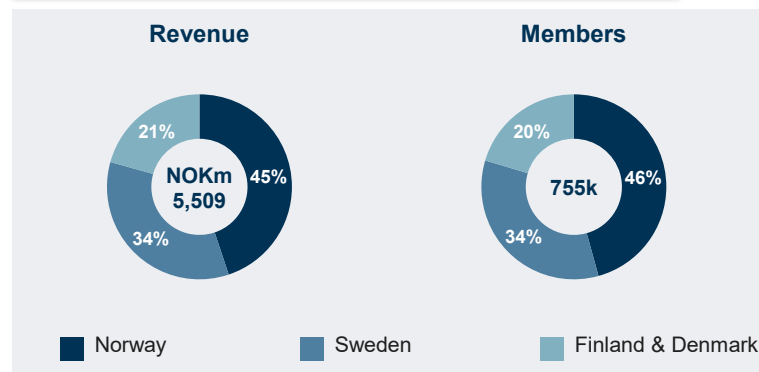
Experienced management team

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SG	CEO – Sondre Gravir Joined SATS in 2018
CE	CFO – Cecilie Elde Joined SATS in 2016
GS	CDO – Gaute Sandal Chief Digital Officer, joined SATS in 2017

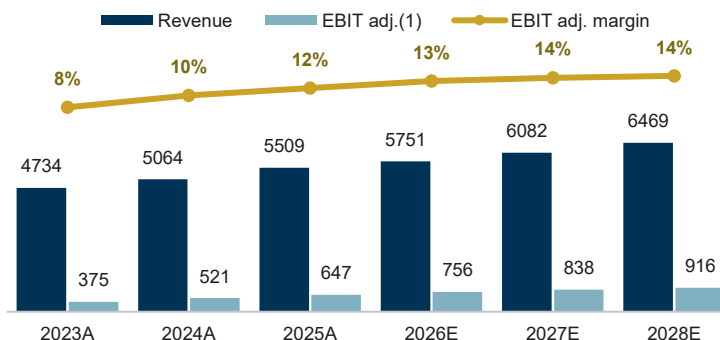
Revenue and member mix (2025)

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Consistent growth with margin expansion

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...and returns well above the cost of capital

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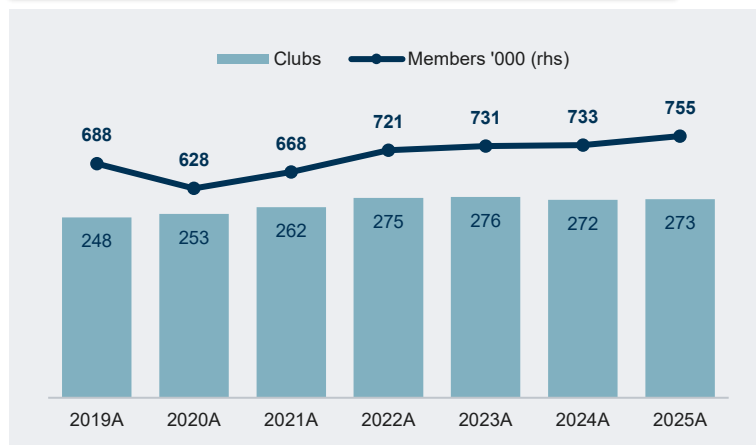
	2023A	2024A	2025A	2026E	2027E	2028E
Profitability						
EBITDA margin	37.7%	38.3%	38.3%	39.2%	39.7%	40.1%
EBIT adj. margin	7.9%	10.3%	11.7%	13.2%	13.8%	14.2%
Returns & cash						
ROIC	11.1%	15.3%	18.9%	21.8%	23.5%	24.9%
WACC	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%
FCF yield	3.7%	4.9%	6.1%	6.0%	6.4%	7.2%
Dividend yield	0.0%	1.5%	1.6%	3.5%	4.1%	5.1%

Market overview

SATS is #1 in Norway, Sweden and Finland and #2 in Denmark – price, utilisation and new clubs drive growth

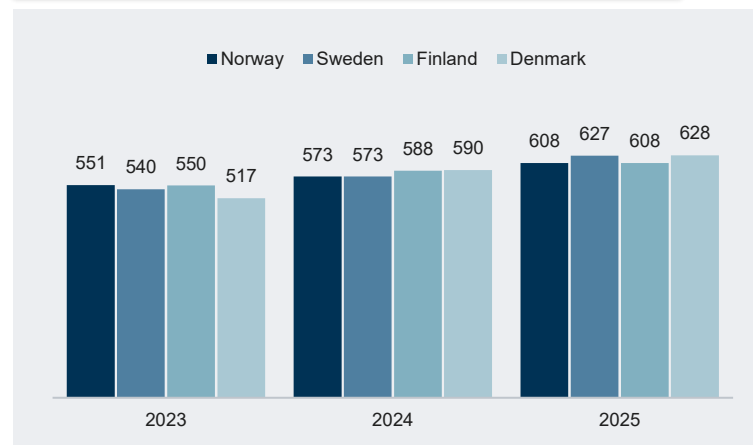
More members per club

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Revenue per member (NOK/month)

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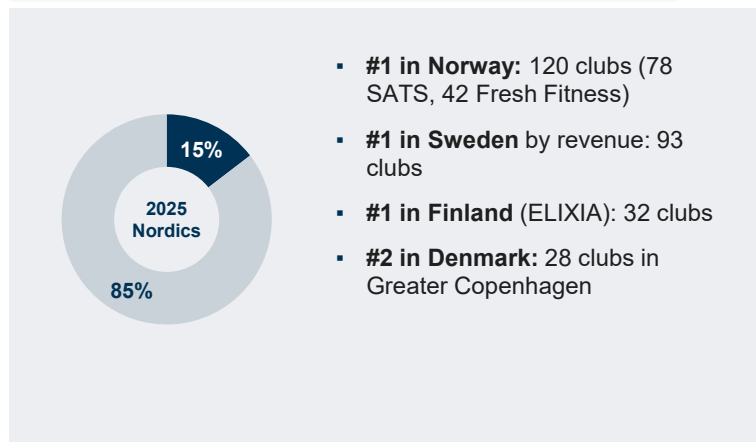


Opportunities

- **Price increases above cost inflation** backed by product tiers and upgrades
- **Higher utilisation:** more members per club at near-zero marginal cost
- **Roll-out:** 8-12 new clubs a year with a ~3-year payback

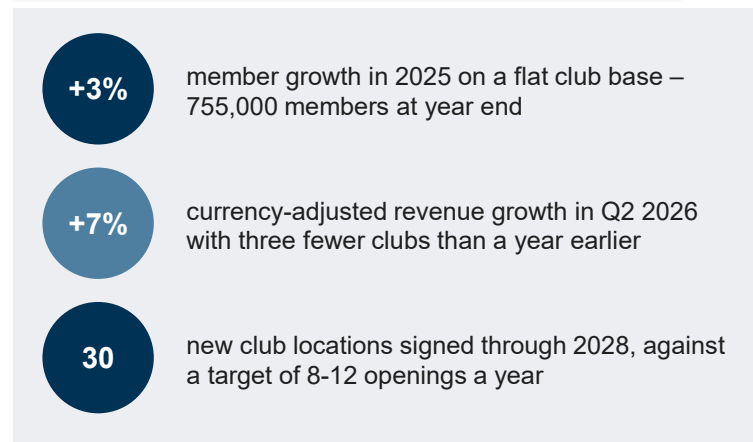
~15% of all Nordic fitness members

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Demand absorbs price increases

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Disruption

- **Boutique studios and digital training** – met with premium concepts inside the clubs and the SATS app
- **Low-cost segment** – addressed with Fresh Fitness (42 clubs in Norway)

Threats

- **Low-cost expansion** in the big cities could cap pricing power
- **Regulation:** Denmark's VAT on group training and PT (2026) cut the Danish member base by 4%

Financials and estimates

New locations, like-for-like and price drive a 5.8% revenue CAGR 2025–30E, with EBIT margins expanding to 15%

Financial summary (NOKm)

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	Historical			Forecast				
	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	4,734	5,064	5,509	5,751	6,082	6,469	6,883	7,288
Growth	16.0%	7.0%	8.8%	4.4%	5.8%	6.4%	6.4%	5.9%
EBITDA (reported)	1,784	1,941	2,109	2,255	2,414	2,592	2,788	2,976
Margin	37.7%	38.3%	38.3%	39.2%	39.7%	40.1%	40.5%	40.8%
EBIT adj.	375	521	647	756	838	916	1,010	1,095
Margin	7.9%	10.3%	11.7%	13.2%	13.8%	14.2%	14.7%	15.0%
Net profit to shareholders	224	326	475	548	614	672	742	804
EPS (NOK)	1.10	1.59	2.39	2.95	3.44	3.93	4.54	5.14
DPS (NOK)	0.00	0.63	0.67	1.48	1.72	2.16	2.49	3.09
Free cash flow to firm	356	446	519	532	562	625	707	765
ROIC	11.1%	15.3%	18.9%	21.8%	23.5%	24.9%	26.6%	28.1%
NIBD / EBITDAaL (x)	2.4x	1.5x	1.1x	1.0x	1.0x	1.0x	1.0x	1.0x

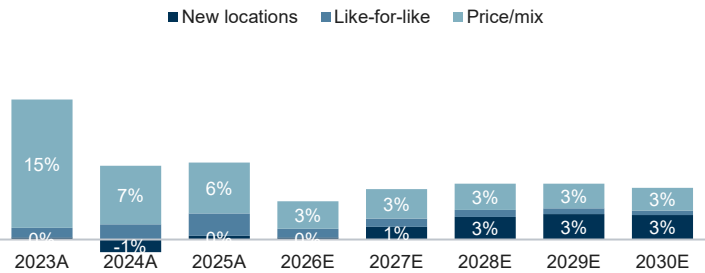
Financial commentary

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- **5.8% revenue CAGR 2025–30E:** new locations add ~2.0pp, like-for-like ~0.8pp and price/mix ~3.0pp p.a.
- **Operating leverage** lifts EBIT adj. margin from 11.7% to 15.0% as fixed costs and rent grow with inflation and locations, not with sales
- **Growth is paid for:** 36 openings at ~NOK 9m each lift capex to 5.3% of sales (5.6% in 2025A)
- **Highly cash generative:** ~54% of EBITDAaL converts to FCFF; negative working capital funds growth
- **ROIC of 28% by 2030E** – far above our 9.0% WACC
- **Shareholder returns:** payout from 50% to 60%; cash above 1.00x NIBD/EBITDAaL funds buybacks – NOK 1,889m over 2026–30E

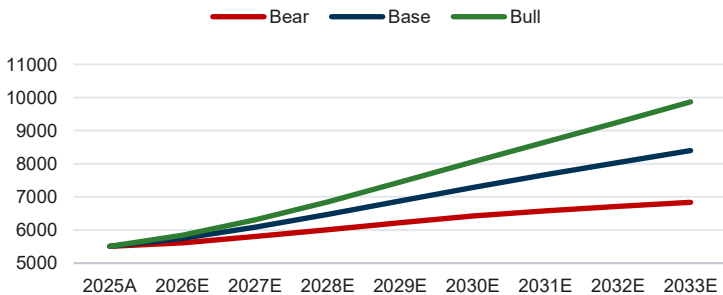
Growth: new locations, like-for-like, price

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Revenue by scenario (NOKm)

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Our estimates vs. consensus

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vs. consensus	2026E	2027E	2028E
Revenue	+0.5%	+0.3%	n.a.
EBITDA	n.a.	n.a.	n.a.
EBIT	n.a.	n.a.	n.a.
EPS	+0.4%	-2.6%	n.a.

Where we differ – operating leverage. Consensus: Near-term estimates are close to ours, but the share price implies only ~12.7% in 2033 (11.7% today). We: EBIT adj. margin rises from 11.7% (2025) to 15.6% by 2033 on a largely fixed cost base.

Valuation and recommendation

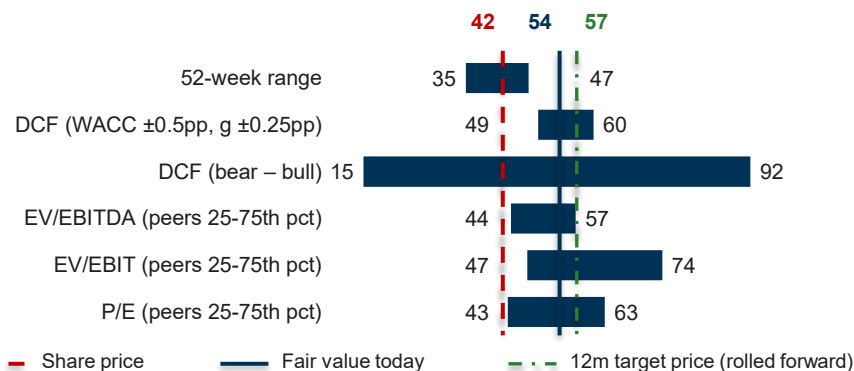
We recommend BUY with a target price of NOK 57 – 35% upside and 38% expected total return

Our take: at NOK 42 the market prices in an EBIT margin of 12.7% in 2033E – above the 11.7% SATS earns today. We see 15.6% as fixed costs are spread over more locations. DCF NOK 54 and peers NOK 52 both point higher: **12-month target price NOK 57(1), BUY.**

BUY – TP NOK 57

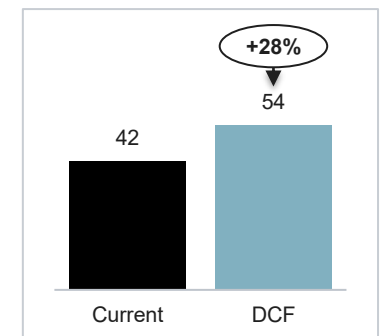
- **Little operating leverage priced in:** the share price implies a 12.7% EBIT margin in 2033E (11.7% today) – we model 15.6%
- **Growth engine intact:** revenue per member, members per club and ~9 net openings a year from 30 signed leases
- **Cash machine:** FCF yield rising to 8% by 2029E funds rising dividends
- **Asymmetric risk/reward:** bull NOK 92 vs. bear NOK 15 per share (DCF)
- **Catalysts:** Q3 report 27 Oct 2026 (margins), the next buyback programme, the 2027 opening pipeline

Valuation summary – football field (NOK/share)



DCF valuation – sensitivity analysis (NOK per share)

		WACC						
		7.52%	8.02%	8.52%	9.02%	9.52%	10.02%	10.52%
Terminal growth	1.50%	67.2	61.5	56.5	52.3	48.5	45.2	42.3
	1.75%	69.0	62.9	57.7	53.2	49.3	45.9	42.9
	2.00%	71.0	64.5	59.0	54.3	50.2	46.6	43.5
	2.25%	73.1	66.2	60.3	55.4	51.1	47.4	44.1
	2.50%	75.4	68.0	61.8	56.6	52.1	48.2	44.8



What the market is pricing in (reverse DCF)

	Market	Ours	2025A
EBIT adj. margin 2033E	12.7%	15.6%	11.7%
Revenue CAGR 2025–33E	4.8%	5.4%	10.5%
WACC	10.7%	9.0%	–

- **Little operating leverage priced in:** the market's 2033E margin is only 0.9pp above today's and 2.9pp below ours
- **Each 1pp of margin is worth NOK 4.1 per share** – our upside rests on margins, not on multiples

12.7%

Market-implied, 2033E

15.6%

Our base case, 2033E

11.7%

Today (2025A)

Sources: Case team DCF and peer analysis; peer multiples from Yahoo Finance consensus (Sep 2026). (1) TP = 70% DCF + 30% peer multiples, rolled forward 12 months at the cost of equity less next year's dividend.